



CHAPTER 19.

An Act to amend the law relating to trade unions, friendly societies, building societies and certain other societies for purposes connected with the present emergency, and to make further provision with respect to the amalgamation and transfer of engagements of trade unions and building societies. [25th April 1940.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows :—

Modification of rules and statutory requirements.

1.—(1) For the purpose of enabling the rules of societies and statutory requirements relating to societies to be relaxed in certain respects during the period of the emergency, the committee of management of any society may apply to the Chief Registrar to give a direction under this section and, if the Chief Registrar is satisfied that by reason of circumstances attributable to the emergency it is expedient to do so, he shall give the direction accordingly.

Power during emergency to modify certain requirements as to meetings, appointment of officers and amendment of rules.

(2) A direction given under this section may dispense with or vary any rule of the society or enactment

requiring meetings of the society to be held at specified times or periods or at specified places and may, notwithstanding anything in the rules of the society or any enactment or any regulation, rule or order made under any enactment, authorise—

- (a) the appointment of trustees or officers of the society in such manner as may be specified in the direction, and the continuance in office for such period as may be so specified of any trustee or officer whose appointment would otherwise have determined;
- (b) the making of amendments of the rules of the society, being amendments so specified, by a resolution of the committee of management or of a general meeting of the society; and
- (c) the exercise, to such extent as may be so specified—
 - (i) by the committee of management of the functions exercisable by a meeting of the society;
 - (ii) by a sub-committee of the committee of management of the functions exercisable by that committee (including functions exercisable by virtue of this section).

(3) Where, on the application of the committee of management of any society within twelve months after the passing of this Act, the Chief Registrar is satisfied that before the passing of this Act there has been, by reason of circumstances attributable to the emergency, failure to comply with the rules of the society or any statutory requirement, and that, if the act or omission constituting the failure had occurred after the passing of this Act, it could have been authorised by a direction given under this section, the Chief Registrar shall certify accordingly and thereupon the act or omission shall be deemed always to have been authorised by such a direction.

(4) At any time within twelve months after the appointment of any officer or trustee or the amendment of any rule, being an appointment or amendment made in

accordance with a direction given under this section, the Chief Registrar may direct that the appointment or amendment shall cease to have effect at such date as may be specified unless it is confirmed in the same manner as the appointment or amendment would have been required to have been made but for this Act.

(5) Nothing in the rules of any society or any registered branch of a friendly society shall be taken to prevent the making of an application under this section.

2.—(1) A friendly society shall, during the period of the emergency, have power to amend the rules of any registered branch of the society, notwithstanding anything to the contrary in the rules of the society or branch.

Provisions
as to
registered
branches of
friendly
societies.

(2) Directions may be given under the foregoing section, on the application of the committee of management of a friendly society, for the amendment of the rules of any registered branch of the society by a resolution of the committee of management or of a general meeting of the society, and accordingly subsection (2) of the foregoing section shall have effect, in relation to any such application as aforesaid, as if the references to the rules of the society included references to the rules of any registered branch of the society named in the application; but save as aforesaid any amendment by a friendly society of the rules of a registered branch thereof shall be made in the manner in which an amendment of the rules of the society would, but for the foregoing section, be required to be made.

(3) Any direction given by the Chief Registrar under the foregoing section in relation to a friendly society may be made to apply to any registered branch of that society named in the application, as if the committee of management of that branch had joined in the application.

(4) Subsection (4) of the foregoing section shall apply to an amendment of the rules of a registered branch of a friendly society, being an amendment made under this section otherwise than in accordance with a direction given by the Chief Registrar, in like manner as it applies to an amendment made in accordance with such a direction.

Suspension
of quin-
quennial
valuation
during
emergency.
59 & 60 Vict.
c. 25.

3.—(1) It shall not be necessary during the period of the emergency, except on the express requirement of the Chief Registrar, for any friendly society to cause such a valuation to be made and send such a report as is mentioned in section twenty-eight of the Friendly Societies Act, 1896, or to send such a return as is mentioned in that section, and the first such valuation and report, or the first such return, after the expiration of the said period shall, in the case of any friendly society, be made and sent, or be sent—

(a) before such date as may be prescribed by the Chief Registrar; or

(b) before the expiration of the period of five years from the last occasion as prescribed by the said section twenty-eight;

whichever is the later.

(2) For the purposes of this section, the Chief Registrar may prescribe different dates for different societies.

Amendment
of 2 & 3
Geo. 6. c. 16.

4. In subsection (8) of section ten of the Prevention of Fraud (Investments) Act, 1939 (which relates to Industrial and Provident Societies not qualified under that section to continue to be registered as such, and to the remission of certain duties and fees to such a society if within a year it converts itself into, or amalgamates with, or transfers its engagements to, a company under the Companies Act, 1929) for the words "a year" there shall be substituted the words "two years".

19 & 20
Geo. 5. c. 23.

Amalgamation and Transfer of Engagements of Building Societies and Trade Unions.

Amalgama-
tion and
transfer of
engage-
ments of
building
societies.

5.—(1) A building society may by a special resolution transfer its engagements to any other building society which may undertake to fulfil those engagements, and a building society may undertake to fulfil the engagements of any other building society by a special resolution or with the consent of the registrar by a resolution of a general meeting or the committee of management; but, subject as hereinafter provided, no transfer of engagements shall take effect unless or until the consent thereto in writing of the holders of not less than

two-thirds of the whole number of shares of each society party thereto has been obtained, and notice of the transfer (which it shall be the duty of the society transferring its engagements to send to the registrar) has been registered.

“A special resolution” means a resolution passed by not less than three-fourths of the members of a building society present and entitled to vote at any general meeting of which notice specifying the intention to propose that resolution has been duly given according to the rules.

(2) A building society desiring to unite with one or more other building societies or to transfer its engagements to another building society or to undertake to fulfil the engagements of another building society, may make an application to the registrar in such manner as he may prescribe and shall publish notice of the application in the Gazette and, if the registrar so requires, in one or more newspapers, and the registrar after hearing the society and any other persons whom he considers entitled to be heard may confirm the union or transfer notwithstanding that the concurrence of the holders of two-thirds of the whole number of shares of the society has not been obtained in the manner required, in the case of a union, by section thirty-three of the Building Societies Act, 1874, or by section nineteen of the Building Societies Act, 1894, or in the case of a transfer, by this section.

37 & 38 Vict.
c. 42.
57 & 58 Vict.
c. 47.

(3) Except with the consent of the registrar, no resolution or other proceeding for the dissolution of a building society, in manner prescribed by its rules or in pursuance of the consent of three-fourths of its members, shall be of any effect, and every instrument of dissolution or alteration in an instrument of dissolution shall be void, if the purpose of the proposed dissolution or of any such alteration as aforesaid is to effect or facilitate the transfer of the society's engagements to any other society, and any provision in a resolution or document that members of the society proposed to be dissolved shall accept, in or towards satisfaction of their rights in the dissolution, investments, whether in shares, deposits or any other form, in any other society shall be conclusive evidence of such a purpose.

(4) Section thirty-three of the Building Societies Act, 1874, and section nineteen of the Building Societies Act, 1894, shall cease to apply to a transfer of engagements.

(5) This section shall be construed as one with the Building Societies Acts, 1874 to 1939, and those Acts and this section may be cited together as the Building Societies Acts, 1874 to 1940.

Amalgama-
tion and
transfer of
engagements
of trade
unions.

6.—(1) Subject as hereinafter provided, a trade union may by a special resolution transfer its engagements to any other trade union, which may undertake to fulfil those engagements; but no transfer under this section shall prejudice any right of any creditor of any trade union party thereto.

“ A special resolution ” means a resolution proposed at any general meeting of which notice specifying the intention to propose that resolution has been duly given according to the rules and passed by not less than two-thirds of the members of the union present and entitled to vote at the meeting, or if the general meetings of the union are meetings of delegates, by not less than two-thirds of the delegates present at the meeting.

(2) No transfer under this section shall take effect unless or until—

(a) the consent thereto of not less than two-thirds of the members of the union transferring its engagements has been obtained either at meetings or in writing, or the Chief Registrar on application made to him in such manner as he may prescribe and after notice of the application has been published in the Gazette and if he so requires in one or more newspapers, and after hearing the union and any other persons whom he considers entitled to be heard, has dispensed with that consent; and

(b) notice of the transfer (which it shall be the duty of every union transferring its engagements to send to the Chief Registrar) has been registered.

(3) The property held for the benefit of any union amalgamating with any other trade union or of any trade union transferring its engagements under this section, or for the benefit of a branch of any such union, by the trustees of the union or of any branch thereof, other than property excepted from the operation of this subsection by the instrument of transfer or amalgamation,

and other than stocks and securities in the public funds of the United Kingdom or of Northern Ireland, shall without any conveyance or assignment vest, on registration of notice of the amalgamation or transfer, or on the appointment of the appropriate trustees, whichever is the later, in the appropriate trustees, that is to say,—

- (a) in the case of any property to be held for the benefit of a branch of the amalgamated union or of a branch of the union undertaking to fulfil the engagements, in the trustees of that branch, unless the rules of that union provide that property to be so held shall be held by the trustees of the union; and
- (b) in any other case in the trustees of the amalgamated union or of the union undertaking to fulfil the engagements.

Every instrument of amalgamation or transfer shall specify any property to be vested under the foregoing provisions, in relation to which the trustees of the amalgamated union or of the union undertaking to fulfil the engagements are not or will not be the appropriate trustees, and shall designate the persons who are or will be the appropriate trustees in relation to that property.

(4) Nothing in this section shall authorise any transfer of engagements under the National Health Insurance Acts, 1936 to 1939, to be effected by an approved society for the purposes of those Acts, otherwise than in accordance with any regulations for the time being in force under section eighty-five of the National Health Insurance Act, 1936.

(5) This section shall be construed as one with the Trade Union Acts, 1871 to 1927, and those Acts and this section may be cited together as the Trade Union Acts, 1871 to 1940.

26 Geo. 5. &
1 Edw. 8.
c. 32.

Rights of members of friendly societies engaged in war service.

7.—(1) Any provision in the rules of a friendly society which purports to deprive persons of membership by reason of their service in any of the naval, military

Continua-
tion during
war service
of member-
ship of

friendly
society.

or air forces of the Crown, shall not apply as respects any such service during the period beginning with the first day of September nineteen hundred and thirty-nine and ending on the expiration of the period of the emergency, and no person shall be fined for failure to attend any meeting of the society or otherwise to comply with the rules of the society, if the failure was due to his service as aforesaid.

(2) Where any person serving as aforesaid was at the commencement of his service or on the first day of September nineteen hundred and thirty-nine, whichever is the later, a member of a friendly society and thereafter ceases to pay contributions to the society, he shall not for that reason cease to be a member but no further contributions shall be paid by him until the determination of his service or of the period of the emergency, whichever is the earlier, and his rights to any benefits provided by the society shall be suspended until he subsequently resumes payment of contributions, and he shall thereupon, as respects any benefits accruing in the future, be in the same position as he would have been if he had not ceased to pay contributions :

Provided that, if any such person fails to resume payment of contributions before the expiration of three months after the determination of his service, or after the expiration of the period of the emergency, whichever is the earlier, he shall cease to be a member of the society and this subsection shall cease to apply to him.

(3) The last foregoing subsection shall not affect any contract of assurance upon human life in respect of which there are separate premiums.

(4) Nothing in this section shall be taken to prevent a friendly society providing by its rules for the continuance of the membership of persons serving as aforesaid upon terms more favourable than those provided by this section.

(5) This section shall be deemed to have had effect as from the first day of September nineteen hundred and thirty-nine.

Establishment of Savings Schemes.

8.—(1) Any friendly society or any society registered under the Industrial and Provident Societies Acts, 1893 to 1928, may in accordance with its rules set up and administer a fund for the purchase, on behalf of members contributing thereto, of Defence Bonds or National Savings Certificates or such other securities of His Majesty's Government in the United Kingdom as the Chief Registrar may prescribe.

Power of certain societies to set up fund for purchase on behalf of members of Government securities.

(2) Any such society may, in amending its rules for the purpose of this section, make provision for enabling persons to become members of the society for the purpose only of contributing to the said fund and without being entitled to any rights as members other than rights as contributors to the said fund.

(3) To facilitate the amendment for the purpose of this section of the rules of any such societies existing at the date of the passing of this Act, the Chief Registrar—

- (a) may prescribe forms of rules which may be adopted for that purpose; and
- (b) if requested so to do by the committee of management of any such society existing at the said date, may register a rule of that society in such of the prescribed forms as may be indicated in the request;

and any rule so registered shall have effect as if it had been duly passed by the society.

General.

9. Anything which is required or authorised to be done by or to the Chief Registrar under this Act may be done by or to such person as he may appoint for the purpose.

Power of Chief Registrar to delegate functions.

10.—(1) In this Act unless the context otherwise requires the following expressions have the meanings hereby respectively assigned to them:—

Interpretation.

“Building society” means any society incorporated under the Building Societies Acts, 1874 to 1939;

“Chief Registrar” means the Chief Registrar of friendly societies;

13 & 14
Geo. 5. c. 8.

“Collecting society” has the same meaning as in the Industrial Assurance Act, 1923;

“Committee of management” in relation to any society means the committee of management, board of directors or other directing body of that society;

“Emergency” means the emergency that was the occasion of the passing of this Act;

“Friendly society” means a society registered under the Friendly Societies Acts, 1896 to 1929, or a registered branch of such a society;

“Period of the emergency” means the period commencing with the third day of September nineteen hundred and thirty-nine and ending with such date as His Majesty may by Order in Council declare to be the date on which the emergency that was the occasion of the passing of this Act came to an end;

3 & 4 Vict.
c. 110.

“Society” means any trade union, friendly society or building society, any such unincorporated society as is mentioned in section seven of the Building Societies Act, 1874, any society registered under the Industrial and Provident Societies Acts, 1893 to 1928, and any society certified under the Loan Societies Act, 1840; and

2 & 3 Geo. 5.
c. 30.

“Trade union” means a trade union within the meaning of the Trade Union Act, 1913.

(2) References in this Act to the Chief Registrar shall, in relation to a collecting society, be construed as references to him in his capacity as Industrial Assurance Commissioner.

Provision as respects
Northern
Ireland.
10 & 11
Geo. 5. c. 67.

11. Notwithstanding anything in the Government of Ireland Act, 1920, the Parliament of Northern Ireland shall have power to make laws, in respect of matters exclusively relating to the portion of Ireland within their jurisdiction or any part thereof, for purposes similar to the purposes of this Act.

12.—(1) This Act may be cited as the Societies (Miscellaneous Provisions) Act, 1940. Short title,
extent and
repeal.

(2) This Act shall extend to the Channel Islands and the Isle of Man, but, except the provisions of the last foregoing section, shall not extend to Northern Ireland.

(3) The enactments mentioned in the Schedule to this Act are hereby repealed to the extent specified in the third column of that Schedule.

Section 12.

SCHEDULE.

ENACTMENTS REPEALED.

Session and Chapter.	Short Title.	Extent of Repeal.
37 & 38 Vict. c. 42.	The Building Societies Act, 1874.	In section thirty-three, the words "or a society under this Act may transfer its engagements to any other society", the words "but no such transfer shall prejudice any right of any creditor of either society" and the words "or transfer".
57 & 58 Vict. c. 47.	The Building Societies Act, 1894.	In section nineteen, the words "or transfer" in both places where those words occur.

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FOR

SIR WILLIAM RICHARD CODLING, C.B., C.V.O., C.B.E., the King's Printer of Acts of Parliament